

WHAT IS **SUPPORT** AND **RESISTANCE**?

A Beginner's Guide to
Finding Key Price Levels

Beginner Level



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Who this guide is for

This guide is for people who can read a basic candlestick chart and want to understand where price tends to stop, bounce or turn. You do not need any trading experience.

Support and resistance levels are areas to watch, not promises. Price can and often does break through them. The goal of this guide is to help you read the chart more clearly, not to give trading signals.

What is support and resistance?

Support and resistance are price areas where the market has paused or turned before, and where it may react again.

Support

A price area **below** the current price where buying has been strong enough to stop a fall. Think of it as a **floor**.

Resistance

A price area **above** the current price where selling has been strong enough to stop a rise. Think of it as a **ceiling**.

Floor and ceiling in one chart



In the chart above, price keeps falling to around the same low and bouncing, and keeps rising to around the same high and turning down. The circled candles show where price reacted. When price moves sideways between support and resistance like this, it is called a **range**.

Edges matter most

Levels are most useful at the top and bottom of a range. The middle is often noisy, with no clear direction.

Ranges end

Eventually price leaves the range, either up through resistance or down through support.

Common in crypto

Crypto often moves sideways in ranges between big moves. Spotting one helps you avoid chasing price in the middle.

Why price reacts at these levels

Support and resistance work because of people. Traders remember prices, place orders around them, and react emotionally when price returns.

1 Memory

If price bounced from a level before, traders remember it. Many expect it to happen again and place buy orders there.

2 Regret

Traders who missed the last bounce often wait to buy at the same price next time. Traders who bought at a top often sell when price returns, just to break even.

3 Clusters of orders

Buy orders, sell orders and stop-losses tend to gather around obvious prices. When price reaches them, a lot of activity happens at once.

4 Profit taking

Traders who bought low often take profit near a previous high. That selling can slow the move and create resistance.

The key idea

Support and resistance are not magic lines. They are areas where supply and demand changed in the past. The more traders are watching the same area, the more likely it is to matter.

Support explained

Support is an area where a falling price has stopped and bounced more than once.



What you see

Price drops to roughly the same low several times. Each time, the lower wick or the candle body stops near the same area.

What it means

At that price, buyers have been willing to step in. Selling pressure ran out and buying pressure took over.

What to watch

How price behaves the next time it reaches the area. A strong bounce shows support is holding. Weak bounces can be a warning.

Example

Bitcoin falls to around \$80,000 several times and bounces each time. Traders start to see \$80,000 as a support area. The lows do not need to be exact; on real charts they are usually close to each other rather than at the same price.

Resistance explained

Resistance is an area where a rising price has stopped and turned down more than once.



What you see

Price climbs to roughly the same high several times. Each time, upper wicks or candle bodies stop near the same area.

What it means

At that price, sellers have been willing to step in. Buying pressure ran out and selling pressure took over.

What to watch

Repeated tests of the same ceiling. Each test uses up some of the sellers there, so watch whether rejections become weaker.

Example

Bitcoin rises to around \$90,000 several times but cannot close above it. Traders start to see \$90,000 as a resistance area. Long upper wicks near the level show that price tried to go higher but was pushed back down before the close.

How to draw levels, step by step

You do not need special tools. Any free charting platform has a horizontal line tool.



1 Zoom out

Start on a daily or 4-hour chart and look at the last few months. Big levels are easier to see from a distance.

2 Find turning points

Mark the obvious swing highs (peaks) and swing lows (valleys) where price clearly changed direction.

3 Look for repeats

Draw a horizontal line where two or more turning points line up at about the same price.

4 Keep it simple

Draw only the clearest two to four levels near the current price. Too many lines makes the chart harder to read.

Wicks or bodies?

Both are used. Wicks show the extreme price reached; bodies show where price closed. Many traders draw a level through the area where most wicks and bodies cluster, which leads to the next idea: zones.

Lines vs zones

On real charts, price rarely turns at the exact same number. It is usually more accurate to think of levels as **zones**.



Thinking in lines

TOO PRECISE

If you expect price to stop at exactly 80.00, a drop to 79.40 looks like a break, even though buyers stepped in again a moment later.

Thinking in zones

MORE REALISTIC

A zone from about 79 to 81 covers the area where buyers have shown up. It accepts that wicks will poke above and below a single line.

How wide should a zone be?

Wide enough to cover the cluster of wicks and bodies at that level, but not so wide that it covers half the chart. On higher timeframes, zones are usually wider in price terms.

Common types of levels

Most support and resistance comes from a few simple places on the chart.

Previous highs and lows



The most common type. A clear earlier peak or valley often attracts a reaction when price returns.

Round numbers



Prices like 1.00, 50,000 or 100,000 are easy to remember, so many orders gather there. Bitcoin often reacts near big round numbers.

All-time highs



When price moves above its highest ever price, there is no earlier resistance above it. This is often called price discovery.

Old resistance, new support



After price breaks above resistance, that same area can act as support on the way back down. More on this in the retest section.

What makes a level stronger

Not all levels are equal. A few simple checks help you decide which ones deserve more attention.

1 Clear reactions

A level where price turned sharply is more meaningful than one where price drifted past slowly.

2 Higher timeframe

A level visible on the daily or weekly chart usually matters more than one that only appears on a 5-minute chart.

3 Multiple touches

Two or three clear reactions confirm that traders care about the area. But see the note below.

4 Volume

Higher trading volume at a level shows that many traders were active there.

5 Round numbers

A level that lines up with a round number often attracts extra attention.

6 Recent activity

A level price reacted to last month is usually more relevant than one from several years ago.

More touches is not always better

Each time price tests a level, some of the buyers or sellers there are used up. A level that is tested again and again in a short time can become weaker, not stronger, and may eventually break.

When a level breaks

Levels do break. Learning to tell a real break from a brief poke through the level is one of the most useful chart skills.

False break

WICK ONLY



Price dips below support during the candle but closes back above it. The level held. These moves are common in crypto and often trap traders who sell too early.

Real breakout

CLOSE BEYOND



A candle closes clearly above resistance, and the next candles stay above it. Buyers have taken control of the level.

Signs a break is more convincing

A candle close

Wait for the candle to close beyond the level. A wick alone is not a break.

Follow-through

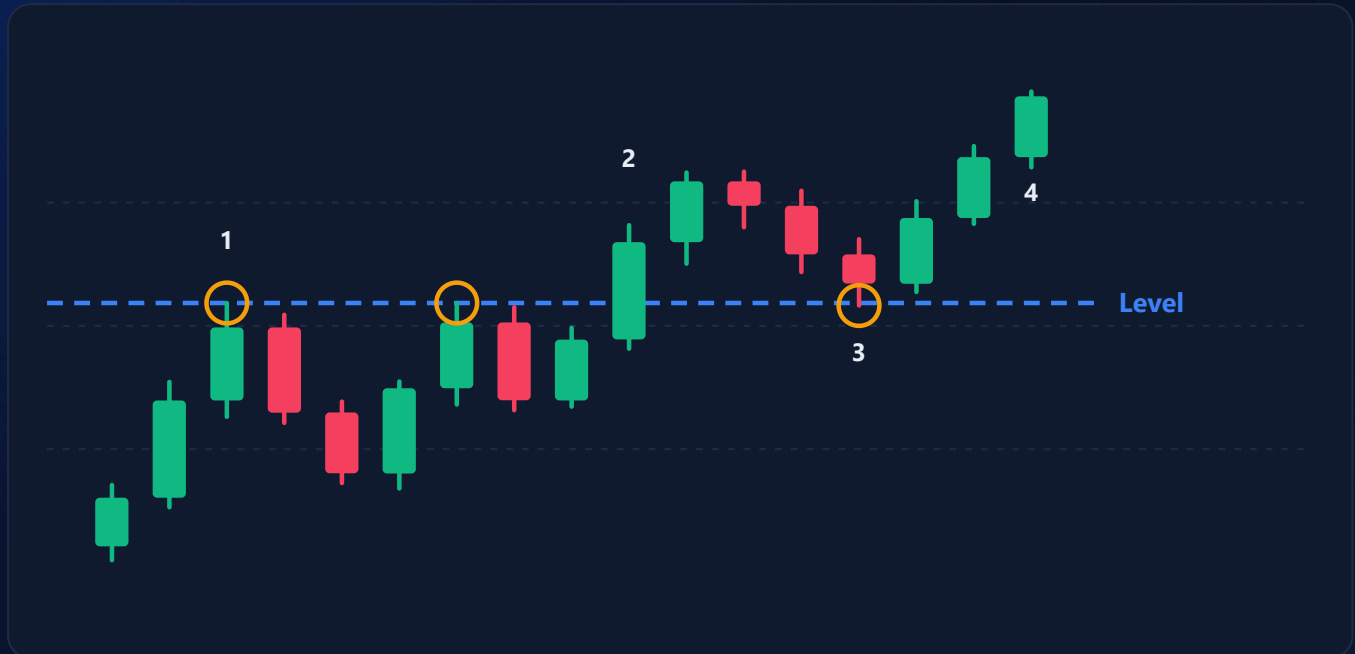
The next one or two candles continue in the same direction instead of falling back.

Higher volume

A break with more trading activity than usual is generally more reliable.

Retests and role reversal

After a breakout, price often comes back to test the level it just broke. This is called a **retest**. Old resistance can become new support, and old support can become new resistance.



1

Resistance forms

Price struggles to move above the level several times. For example, Bitcoin keeps turning down near \$90,000.

2

Breakout

A candle closes clearly above the level, ideally with higher volume.

3

Retest

Price comes back down to the old level. This time, buyers step in where sellers used to be.

4

New support

Price holds above the level and moves higher. The old ceiling has become a floor.

Retest that holds

LEVEL FLIPPED

Price touches the old level, shows a bullish reaction such as a hammer or engulfing candle, and closes back above it.

Failed retest

BREAKOUT FAILED

Price closes back below the old level and stays there. The breakout did not hold, and the level is acting as resistance again.

Using candlesticks at key levels

Candlestick patterns become much more useful when they appear at support or resistance. The level tells you where to look; the candle tells you how price is reacting.

Hammer at support

BULLISH



Price dips into support, then buyers push it back up and it closes near the high. The long lower wick shows lower prices were rejected at the level.

Shooting star at resistance

BEARISH



Price spikes into resistance, then sellers push it back down and it closes near the low. The long upper wick shows higher prices were rejected.

Learn the candles first

If terms like hammer, shooting star or engulfing are new to you, start with our free guide **What Is a Candlestick and What Are Its Types?** on bassammalik.com. It covers 23 common candlestick types with clear chart examples.

How traders use support and resistance

Levels help traders plan where to act and where they are wrong. These are the four most common beginner approaches. None of them work every time, so each one needs confirmation and a risk plan.

Buying near support

BUY ZONE



Wait for price to reach support, then look for signs of strength such as a hammer or bullish engulfing candle. If price closes clearly below support, the idea is wrong.

Selling near resistance

SELL ZONE



Spot traders often use resistance to take profit on coins they already hold. Look for signs of weakness, such as a shooting star or long upper wicks.

Trading a breakout

NEEDS A CLOSE



When price closes clearly beyond a level with higher volume, a new move may begin. Breakouts fail often, so wait for the candle close.

Waiting for the retest

MORE PATIENT



Instead of chasing a breakout, some traders wait for price to come back to the broken level and hold. This often gives a clearer point to manage risk.

Spot first

If you are new, practise these ideas on spot charts with small amounts, or simply observe and note them in a journal. Leverage makes every mistake more expensive.

Common beginner mistakes

Most beginners struggle with support and resistance for the same few reasons.

01 Drawing too many lines

A chart covered in lines makes every price look important. Focus on the clearest few levels near the current price.

02 Expecting exact prices

Price rarely turns at the exact same number. Think in zones, and accept that wicks will poke through.

03 Treating a wick as a break

A level is only broken when candles close beyond it and stay there. Reacting to every wick leads to early, poor decisions.

04 Using only small timeframes

Levels on 1-minute or 5-minute charts break easily. Start with daily and 4-hour levels.

05 Fighting a strong trend

Support often breaks in a strong downtrend, and resistance often breaks in a strong uptrend. Levels that go against the main trend are less reliable.

06 Assuming levels always hold

Support and resistance show where price may react, not where it must react. Plan for both outcomes.

07 Skipping risk management

Even a clean level can fail. Decide in advance how much you are willing to lose, and keep position sizes small while learning.

Before you act: a simple checklist

Before making any decision at a support or resistance level, run through these questions. Save this page or print it and keep it next to your screen.

1 Is the level clear?

Did price react to it clearly before, ideally on the daily or 4-hour chart?

2 Is the trend with me?

Am I buying at support in an uptrend, or fighting a strong downtrend?

3 Is there confirmation?

Has a candle closed with a clear reaction at the level, not just touched it?

4 Is volume supporting it?

For a breakout, is trading activity higher than usual?

5 Where am I wrong?

At what price does the idea fail? Is that level decided in advance?

6 Is my risk small?

If I am wrong, is the loss small enough that it does not hurt my account?

Waiting is a decision too

If most answers are no, the best choice is often to do nothing and wait for a clearer setup. There will always be another chance.

Practice plan and next steps

Drawing good levels is a skill. You get better at it by practising on real charts.

1 Open a daily BTC chart

Use any free charting platform. Look at the last six months of daily candles.

2 Draw three levels

Mark the clearest support and resistance near the current price. Use zones, not single thin lines.

3 Watch how price reacts

Over the next few weeks, note whether price bounces, pauses or breaks through each level.

4 Keep a simple journal

Write down each level, why you drew it, and what happened. Over time you will see which levels you draw well.

KEEP LEARNING

More free lessons on bassammalik.com

Candlestick patterns, chart timeframes, technical analysis, risk management and more, written for beginners. Use our free risk management tools on the site before you act on any level.

Disclaimer

This guide is for educational purposes only and is not financial advice. Cryptocurrency trading involves significant risk, and prices can be highly volatile. Support and resistance levels do not guarantee future price movements. Always do your own research, never invest more than you can afford to lose, and consider speaking with a qualified financial professional before making any investment decisions.